Sales, Revenue & Costs

Exam code: 9BS0

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Calculation of sales volume and sales revenue

- Sales volume is the **number of units** sold by a business
  - For example, the number of Harry Styles album download purchases
- Sales revenue is the **value of the units** sold by a business
  - For example, the revenue earned by Apple Music from sales of music downloads
  - Sales revenue is a **key business performance measure** and must be calculated to identify profit
  - Sales revenue is calculated using the formula:

$$\text{Sales revenue} = \text{Selling price} \times \text{Number of units sold}$$

- Sales revenue **usually increases** as the **sales volume increases**
- When a firm sells one product, it is easy to calculate the sales revenue
  - The more products a firm sells, the harder it is to calculate the sales revenue
  - **Computer systems** make it easier to track sales revenue when multiple products are sold by the business

Help me understand

Worked Example

Fotherhill Organics Limited sold 39,264 packs of its specialist compost to mail-order customers in 2022. The price per pack was £8.75. In addition, it sold 4,280 tonnes to gardening businesses for £123.95 per tonne.

Calculate Fotherhill Organics' sales revenue for 2022.

Step 1: Calculate the sales revenue from sales to mail-order customers

$$= 39{,}264 \text{ packs} \times £8.75$$

$$= £343{,}560$$

Stuck on something?

Ask questions and get help with exactly what you're revising.

Got it

$= 4{,}280 \text{ packs} \times £123.95$

$= £530{,}506$

Step 3: Add together the two sales revenue figures

$= £343{,}560 + £530{,}506$

$= £874{,}066$

An introduction to costs

- In preparing goods/services for sale, businesses **incur a range of costs**
- These costs can be broken down into different categories

Fixed costs

- Fixed costs (FC) do not change as the level of output changes
  - These have to be paid whether the output is zero or 5,000
    - For example, building rent, management salaries, insurance and bank loan repayments

Variable costs

- Variable costs (VC) vary directly with the output
  - These increase as output increases and vice versa
    - For example, raw material costs and wages of workers directly involved in production

Total costs

- Total costs (TC) are the sum of FC and total VC

Calculation of fixed, variable and total costs

- Based on the above definitions, we can calculate several different types of costs

Formulas to calculate different types of costs

Type of cost	Formula
TC	= Total FC + total VC
Total VC	= VC per unit × quantity
Average TC (unit cost)	= TC ÷ quantity produced

Example: cost calculations where variable costs = $60

Output (Q)	FC	TVC = $60 × Q	TC = TFC + TVC	AVC = $\frac{TVC}{Q}$	AC = $\frac{TC}{Q}$
0	200	-	200	-	-
1	200	60	260	60	260
2	200	120	320	60	160
3	200	180	380	60	126.67
4	200	240	440	60	110
5	200	300	500	60	100
6	200	360	560	60	93.33
7	200	420	620	60	88.57
8	200	480	680	60	85

Variable costs per unit

- **VC per unit** are calculated by adding together the cost of each component or raw material used to produce the unit

Worked Example

Rosebud Aromas manufactures luxury scented candles. The production of each candle incurs the following VC:

VC	Cost per candle (£)
Wax	0.14
Perfume oil	0.72
Telephone bill	24.32
Glass jar	1.46
Outer packaging	0.33

Calculate the VC in pounds sterling for each candle.

Step 1: Identify the VC in the list

A telephone bill is classified as an FC, so it should not be included in the calculation. [1]

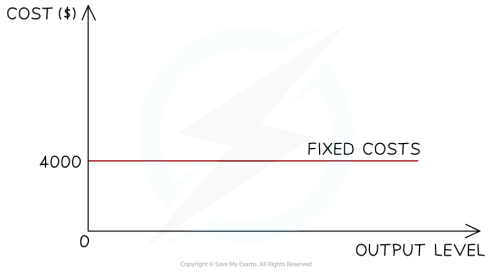
$= £2.65$

Examiner Tips and Tricks

Take care when calculating VC per unit, as it is likely that one or more **FC** will be included in the list, as seen above.

Diagrammatic representation of costs

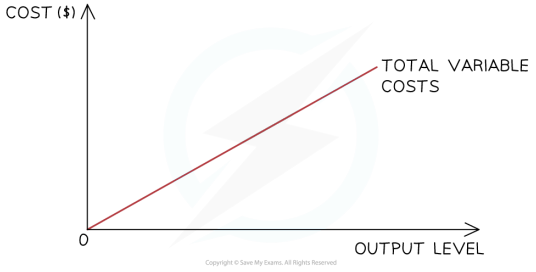
Fixed costs



Graph showing fixed costs and output level

- The firm has to pay its **fixed costs**, which do not change according to output
- The FC for this firm are $4,000

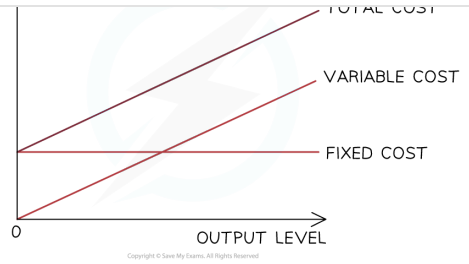
Variable costs



Graph showing total variable costs and output level

- The VC initially **rises proportionally with output**, as shown in the diagram
- At some point, the firm will benefit from **purchasing economies of scale**, and the rise will no longer be proportional

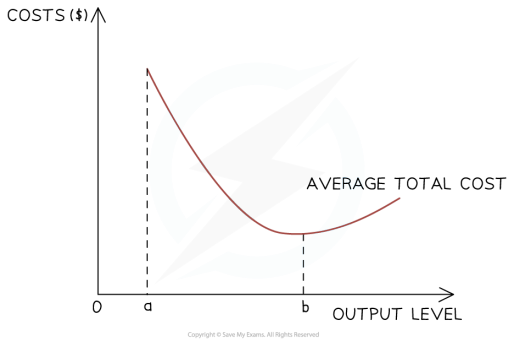
Total costs



Graph showing a cost analysis involving the fixed cost, variable cost and output level

- The **TC** are the sum of the VC and FC
- The TC **cannot be zero**, as all firms have some level of FC

Average total costs



Graph showing average total cost and output level

- As a firm grows, it can increase its **scale of output**, generating efficiencies that lower its **average total costs (AC)** of production
- These efficiencies are called **economies of scale**
- As a firm continues increasing its **scale of output**, it will reach a point where its **AC** will start to **increase**
- The reasons for the increase in the average costs are called **diseconomies of scale**

Contribution

- Contribution refers to a product's **selling price minus the VC** directly involved in producing that unit
- Contribution can be calculated using the **following formula**:

$$\text{Contribution} = \text{Selling price per unit} - \text{Variable cost per unit}$$

- It is called "contribution", as this amount contributes towards **paying off the FC** of the business
  - Once the FC have been paid off, the contribution starts to **contribute to the profits** of the business
- Contribution is used to calculate the **break-even point**

Worked Example

Rosebud Aromas manufactures luxury scented candles. The production of each candle incurs the following VC:

VC	Cost per candle (£)
Wax	0.14
Perfume oil	0.72
Glass jar	1.46
Outer packaging	0.33

Each candle is sold for an average wholesale price of £15 to retail outlets. Calculate the contribution for each candle.

Step 1: Calculate the total VC per candle

$$= £0.14 + £0.72 + £1.46 + £0.33$$

$$= £2.65$$

Step 2: Deduct the total VC per candle from the selling price

$$= £15.00 - £2.65$$

$$= £12.35$$

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